Type MS · Converting currencies with an exchange rate

Answer 1 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** A construction worker not finding work during the monsoon period<br><br>A is not correct because this is an example of structural unemployment<br>C is not correct because this is an example of cyclical unemployment<br>D is not correct because this is an example of voluntary unemployment | **(1)** |

| Question Number | Which **one** of the following is likely to cause cost-push inflation?<br><br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** An increase in the prices of raw materials paid by producers<br><br>A is not correct because this is more likely to cause demand-pull inflation<br>B is not correct because this affects the supply-side but it is not a direct cause of cost-push inflation<br>D is not correct because this stimulates demand rather than increasing production costs | **(1)** |

| Question Number | What is meant by the term current account deficit?<br><br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 2 marks for a correct definition<br><br>When the value of imports **(1)** exceeds the value of exports **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 1 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

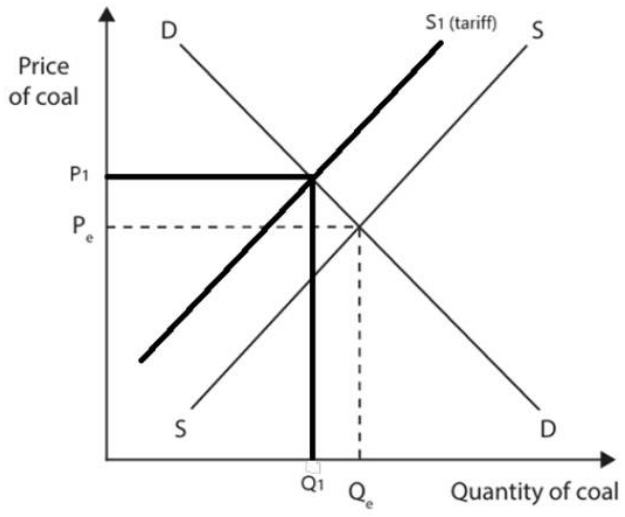
| Question Number | Describe **one** benefit to a country of using quotas for imported goods.<br><br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the benefit and 1 mark for the development of the benefit<br><br>One benefit is quotas can protect domestic industries **(1)** due to restricting the quantity of certain imports **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for calculation of the price in euros<br><br>750 × €1.18 **(1)**<br><br>Award 1 mark for the correct answer<br><br>= €885 **(1)**<br><br>Award 2 marks if the correct answer is €885 even if no calculations are shown<br><br>Award 1 mark if the answer given is 885 even if no calculations are shown<br><br>Do not award marks for the formula. | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 1 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br><br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a leftward shift of the supply curve, labelled<br>Award 1 mark for a higher equilibrium price, labelled<br>Award 1 mark for a lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Converting currencies with an exchange rate

Answer 1 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK.<br><br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant benefit<br>Award 1 mark for developing the benefit<br>Award 1 mark for the response being in context<br><br>• One benefit is that the health of UK citizens will be improved **(1).** Fewer available permits make airlines find ways to adopt cleaner technologies/improve efficiency. **(1)** This will help to reduce air pollution **(1)**<br><br>• One benefit is that air pollution will decrease **(1).** This is because airlines are limited in how much they can pollute **(1)** so they must reduce their emissions to stay within limits **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• GDP helps to understand the size and overall economic health of India<br>• This makes it easier to assess how well the Indian economy is doing and whether it is growing or shrinking<br>• India's GDP growth rate of 7.2% in 2023 allows for easy comparison with other major economies, showing its position and progress on a global scale<br>• The GDP growth figures, of 7.2% in 2023 and forecasted 6.9% in 2024, help the government assess the effectiveness of its economic policies<br>• Rising GDP signals more income/output, helping the Indian government plan for infrastructure, health or education spending<br>• Generally, if India's GDP is increasing, it means people might be earning more and living standards could be improving | **(6)** |

## Type MS · Converting currencies with an exchange rate

### Answer 1 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

### Answer 1 of 9 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

| Question Number | The percentage of income tax paid by an individual in a progressive tax system<br><br>**Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>**D** globalisation | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>**C** People changing jobs | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to cost of borrowing and 1 mark for reference to reward for lending.<br><br>The cost of borrowing **(1)** and the reward for lending/saving **(1)**<br><br>**OR**<br><br>The cost of borrowing/the reward for lending/saving money **(1)**<br>An interest rate is normally expressed as a % of the total borrowed/lent/saved **(1)** | **(2)** |

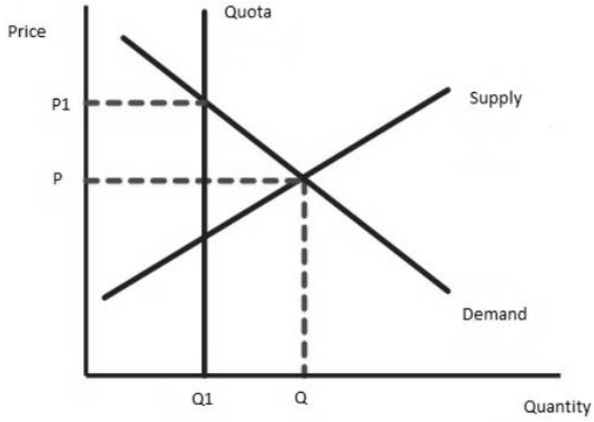
| Question Number | Answer | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the impact and 1 mark for development of the impact.<br><br>The cost of borrowing has become cheaper **(1)** therefore more consumers take out loans to buy products **(1)** | **(2)** |

Type MS · Converting currencies with an exchange rate

Answer 2 of 9 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation.<br><br>Award 1 mark for the correct answer.<br><br>1000/137.73 **(1)** = £7.26 **(1)**<br><br>Award 2 marks if the correct answer is shown, with sterling symbol, even if no calculations are shown.<br><br>Do not award marks for the formula | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for perfectly inelastic supply curve, labelled.<br>Award 1 mark for higher equilibrium price, labelled.<br>Award 1 mark for lower equilibrium quantity, labelled.<br><br>  <br> | **(3)** |

Type MS · Converting currencies with an exchange rate

Answer 2 of 9 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant way.<br>Award 1 mark for developing the way.<br>Award 1 mark for the response being in context.<br><br>• One way is by the WTO hosting discussions/trade negotiations **(1)** in which countries such as the US and Canada agree to reductions in tariffs/quotas **(1)** which should result in greater free trade between countries **(1)**<br><br>• One way is by the WTO having a set of rules **(1)** These aim to ensure that countries do not introduce tariffs/quotas such as the 300% tariff on aircraft **(1)** which would restrict free trade between countries **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Converting currencies with an exchange rate

Answer 2 of 9 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 1(h) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Fiscal policy (expansionary) is when the government increases government expenditure and/or reduces taxation<br>• Increased government expenditure could be in the form of new infrastructure projects such as transport links or employing more public sector workers such as teachers<br>• This should increase overall demand within the Australian economy<br>• This results in firms raising output and having to employ more workers<br>• Incomes will also rise resulting in further output and employment growth within the Australian economy<br>• Unemployment should therefore be reduced in the Australian economy | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

### Answer 2 of 9 · Question 1 part e · 2 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

## Type MS · Converting currencies with an exchange rate

### Answer 3 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>**B** Inflation rate | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>**C** privatisation | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment<br><br>A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**.<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods<br><br>The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**.<br><br>Accept any other appropriate response. | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 3 of 9 · Question 1 part e · 2 marks

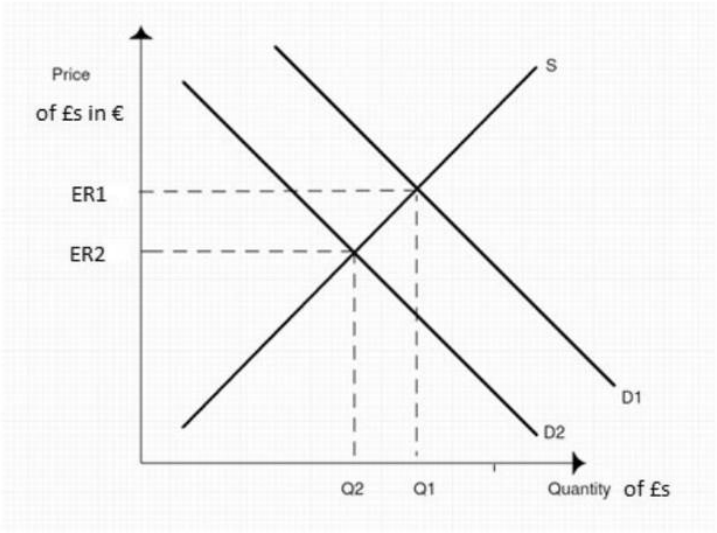
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation.<br><br>150 000 x 70.66 INR **(1)**<br><br>Award 1 mark for the correct answer.<br><br>= 10 599 000 INR **(1)**<br><br>Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown.<br><br>Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown.<br><br>Do not award marks for the formula. | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 3 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of demand, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Converting currencies with an exchange rate

### Answer 3 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).**<br><br>• One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).**<br><br>Accept any other appropriate response. | **(3)** |

## Type MS · Converting currencies with an exchange rate

### Answer 3 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

| Question Number | Indicative content |
|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Direct taxes are government charges imposed on income and wealth<br>• Lowering direct taxes such as income tax rates will result in employees keeping more take home pay<br>• This increases disposable income from employment and gives an incentive to work rather than live on benefits<br>• Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam<br>• With greater disposable income being spent within the Vietnamese economy, output and employment may increase |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

### Answer 3 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Converting currencies with an exchange rate

Answer 4 of 9 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br>The only correct answer is:<br>**D** Quota<br><br>A is not correct because this refers to currency and not a product<br>B is not correct because this relates to price rather than quantity<br>C is not correct because this defines a good not provided by the market | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Supply-side<br><br>A is not correct because this refers to exchange of goods and services<br>B is not correct because this concerns government revenue and expenditure<br>D is not correct because this is the price of one currency in terms of another | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to GDP/economic cycle and 1 mark for reference to speed<br><br>A period where GDP is still growing **(1)** but more slowly **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 4 of 9 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

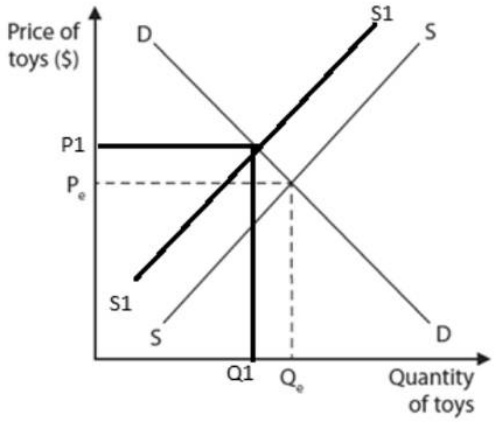
| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to new industry and 1 mark for reference to not well known in the market<br><br>New/fledgling industries **(1)** that have yet to establish themselves **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>£73m x €1.08 **(1)**<br><br>Award 1 mark for the correct answer.<br><br>= €78 840 000 or €78.84m **(1)**<br><br>Award 2 marks for the correct answer of €78 840 000 or €78.84m even if no calculations are shown<br><br>Award 1 mark if the answer given is 78 840 000 or 78.84m with or without calculations shown<br><br>Do not award marks for the formula | **(2)** |

## Type MS · Converting currencies with an exchange rate

Answer 4 of 9 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of supply curve, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br><br>**Figure 1** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant disadvantage<br>Award 1 mark for developing the disadvantage<br>Award 1 mark for the response being in context<br><br>• One disadvantage is an increase in inflation **(1)**. Growth of 4.9% in Malaysia means that firms will require more resources to make more goods and services **(1)**. If there is a shortage of resources then this might result in cost push inflation **(1)**<br><br>• One disadvantage is the damage caused to the environment **(1)**. Growth of 4.9% means more resources will be required to make goods and services **(1)**. This could result in an increase in pollution levels within Malaysia **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Converting currencies with an exchange rate

Answer 4 of 9 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy<br>• Monetary policy can be used to reduce inflationary pressures in Kenya by the central bank increasing interest rates<br>• An increase in interest rates above the current 9% base rate might help to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure<br>• There might be a greater reward for saving which may discourage consumers from spending helping to reduce (aggregate) demand and therefore inflation in the economy<br>• A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reducing inflation |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

### Answer 4 of 9 · Question 1 part e · 2 marks

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| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Converting currencies with an exchange rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**B** Unemployment<br><br>A is not correct because this is measured by a % change in GDP<br>C is not correct because this is decided by the government<br>D is not correct because this is measured by the CPI | **(1)** |

| Question Number | Which **one** of the following is considered to be a progressive tax in the UK?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Income tax<br><br>B is not correct because this is an indirect tax/regressive tax<br>C is not correct because these are taxes on individual items<br>D is not correct because a set percentage is paid | **(1)** |

| Question Number | What is meant by the term deregulation?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to removal and 1 mark for reference to government controls<br><br>The removal **(1)** of government controls **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 5 of 9 · Question 1 part e · 2 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

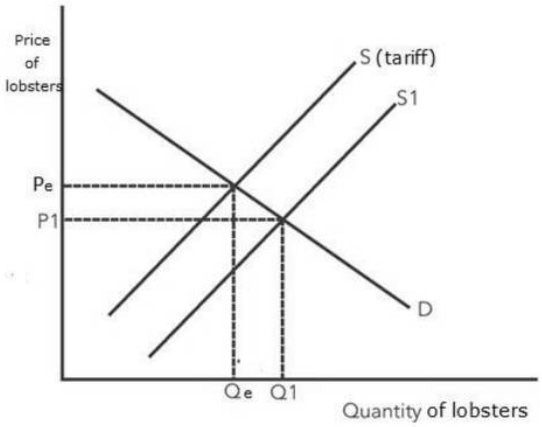
| Question Number | Describe **one** negative impact of economic growth.<br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to environmental damage and 1 mark for reference to economic activity<br><br>Environmental damage **(1)** caused by factories making more goods/services **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br>£15 000 x €1.10 **(1)**<br><br>Award 1 mark for the correct answer<br>= €16 500 **(1)**<br><br>Award 2 marks if the correct answer €16 500 is shown, with € sign, even if no calculations are shown<br><br>Award 1 mark if correct answer 16 500 is shown, but with no € sign, with or without calculations<br><br>Do not award marks for the formula | **(2)** |

## Type MS · Converting currencies with an exchange rate

### Answer 5 of 9 · Question 1 part e · 2 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for rightward shift of supply, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Converting currencies with an exchange rate

### Answer 5 of 9 · Question 1 part e · 2 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | Explain the impact of wages rising faster than inflation on a country such as Mexico.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• The impact is that wages can buy more goods/services **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1).** This could result in increased pressure on the rate of inflation **(1)**<br><br>• The impact is that firms could see fewer wage demands **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1)**. Employees would be less likely to require higher wages to maintain standards of living **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Converting currencies with an exchange rate

### Answer 5 of 9 · Question 1 part e · 2 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

| Question Number | Analyse the impact of education and training on the productive potential of a country such as Vietnam.<br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Education and training are examples of supply-side policies designed to improve the productive potential of an economy<br>• Investment in education and training in IT can help unemployed workers to acquire new skills so they can gain employment<br>• Many unemployed workers lack the necessary skills needed to get a job, especially older workers who may need retraining to gain digital skills<br>• Offering training courses in IT could help to reduce structural unemployment within Vietnam<br>• A better educated and trained workforce could enable Vietnam to produce more goods and services using IT skills thus increasing the productive potential of the country | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

### Answer 5 of 9 · Question 1 part e · 2 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

| Question Number | Which type of unemployment would result from the permanent closure of a coal mine?<br>**Answer** | Mark |
|---|---|---|

Type MS · Converting currencies with an exchange rate

Answer 6 of 9 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** £37.50<br><br>A is not correct because this is $75-£50<br>C is not correct because this is $50/£0.75<br>D is not correct because this is £0.75 x 100 | **(1)** |

| Question Number | Which **one** of the following is a reason for this provision?<br>**Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** To reduce damage to the environment<br><br>A is not correct because parks increase the number of tourists<br>B is not correct because parks increase property values in the area<br>D is not correct because this increases the space for leisure and recreation | **(1)** |

| Question Number | Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.<br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is demand may have decreased for imports **(1)** as consumers switch to cheaper domestically produced goods rather than imports **(1).** This means less money is flowing out of the country resulting in a positive impact on the current account **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Converting currencies with an exchange rate

Answer 6 of 9 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy<br>• Interest rates are the highest they have been for 15 years and are predicted to increase to 5.25% by the end of 2023<br>• Higher interest rates will increase the cost of borrowing<br>• This will discourage investment and expenditure by firms and consumers in the US economy<br>• There could be a greater incentive to save to take advantage of higher interest rates, therefore reducing consumer spending<br>• This will lower overall aggregate demand and inflationary pressures in the US economy<br>• Increased interest rates may boost the US currency's value, which may lead to lower import costs and consequently a decline in inflation | **(6)** |

## Type MS · Converting currencies with an exchange rate

### Answer 6 of 9 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

Answer 6 of 9 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the possible benefits of low unemployment rates on tax revenues for a country such as Australia.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Unemployment rate is a measure of the percentage of the total labour force that is currently unemployed and actively seeking employment<br>• Figure 4 shows that the rate of unemployment has steadily fallen from a high of 4.2% in January to 3.4% in November 2022<br>• If Australia's employment increases by 64,000, tax revenue from newly employed workers could increase<br>• More indirect taxes such as VAT will be collected because additional people will be spending money in the economy<br>• This could be used by the Australian Government in the economy to improve standards of living<br>• Higher tax revenues will make it easier for the Australian Government to finance spending on other projects such as public services<br>• The Australian Government has more flexibility to lower taxes elsewhere if more people are employed and tax revenue from income rises<br><br>**AO4**<br>• However, low unemployment might not result in higher tax revenue for the Australian Government<br>• If many of the workers are employed in low-wage jobs, they may not contribute as much in tax revenue<br>• If there is a significant informal economy or tax evasion, tax revenue might be lost<br>• If tax rates are too low or there are too many tax exemptions, tax revenue may not increase as much as expected<br>• The Australian economy could see an increase in cost-push inflation as firms compete for the same workers by offering higher wages due to labour /lack of immigration<br>• Inflation could reduce tax revenues by reducing consumer spending<br>• The overall impact will depend on how long unemployment remains low | **(9)** |

## Type MS · Converting currencies with an exchange rate

Answer 6 of 9 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Converting currencies with an exchange rate

### Answer 6 of 9 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

| Question Number | Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|

Type MS · Converting currencies with an exchange rate

Answer 7 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **4(a)** | **AO2 2 marks**<br><br>Award 2 marks for calculating the price in £ sterling<br><br>$\frac{1600}{672}$ **(1)**<br><br>= £2.38 **(1)**<br><br>Award 2 marks if the park entry fee is accurately calculated as £2.38 even if no calculations are shown<br><br>Award 1 mark if £ is missing i.e. 2.38 with or without calculations shown<br><br>Do not award marks for the formula | **(2)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country.<br>**Indicative content** | Mark |
|---|---|---|
| **4(b)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Developed countries, such as the UK, tend to have more diversified economies with a higher share of manufacturing and services sectors in their GDP<br>• This allows developed countries to produce a wide range of goods and services making them less dependent on a few primary products for their exports<br>• Developed countries such as the UK have exhausted many raw materials and moved away from agriculture so need to import these commodities<br>• In contrast, developing countries such as Costa Rica may have a narrower range of products to offer with a higher share of agricultural exports<br>• Costa Rica relies heavily on agricultural exports such as fruit and vegetables accounting for 73.4% of exports to the UK<br>• The patterns of trade are different for developed and developing economies due to the different sizes of the primary, secondary and tertiary sectors | **(6)** |

## Type MS · Converting currencies with an exchange rate

### Answer 7 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

Answer 7 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, evaluate the possible advantages of the government providing national parks to protect the environment in a country such as Costa Rica.<br>**Indicative content** | Mark |
|---|---|---|
| **4(c)** | **AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)**<br><br>**AO2 and AO3**<br><br>• Parks can provide a range of environmental benefits such as protecting and preserving biodiversity<br>• Parks can contribute to long-term economic sustainability by protecting natural resources and ecosystem services<br>• The conservation of natural resources through parks can also support other economic activities such as fishing and timber harvesting by ensuring the sustainability of these resources over the long term<br>• The creation and maintenance of parks can generate economic benefits such as employment opportunities and revenue from tourism<br>• The establishment of protected areas can help lessen the economic costs associated with environmental degradation<br>• Parks and natural spaces can contribute to improvements in public health by providing opportunities for exercise and recreation which can reduce healthcare costs and absenteeism from work due to illness<br>• Parks and protected areas can contribute to a sense of national identity and pride which can help to attract international visitors and promote trade and investment<br><br>**AO4**<br><br>• However, the costs of creating and maintaining parks can be high and may require significant public funding<br>• The creation of parks may require the displacement of local communities or restrictions on traditional land use practices<br>• Ecotourism can lead to overcrowding and environmental degradation if not properly managed<br>• Protected areas can limit opportunities for economic development particularly in sectors such as mining, logging and agriculture<br>• This can be a source of conflict between conservationists and those who see protected areas as a hindrance to economic growth<br>• There are alternative methods which the Costa Rican Government could use such as taxation and pollution permits which might be more effective in protecting the environment | **(12)** |

## Type MS · Converting currencies with an exchange rate

### Answer 7 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–4 | • Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4). |
| **Level 2** | 5–8 | • Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4). |
| **Level 3** | 9–12 | • Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4). |

## Type MS · Converting currencies with an exchange rate

### Answer 7 of 9 · Question 4 part a · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Converting currencies with an exchange rate

Answer 8 of 9 · Question 3 part b · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

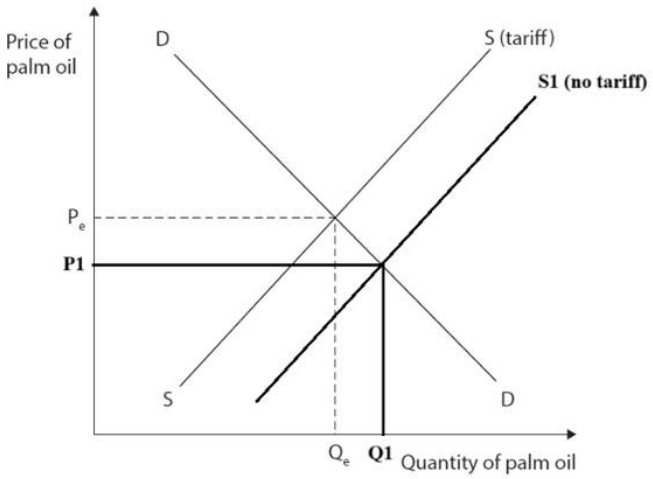
| | | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**A** A Japanese car company buying an Indonesian car company<br><br>B is not correct because this is an example of importing goods<br>C is not correct because this is an example of domestic trade<br>D is not correct because this an example of exporting goods | **(1)** |

| Question Number | How many US dollars ($) would it take to purchase £150?<br>**Answer** | Mark |
|---|---|---|
| **3(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** $187.50<br><br>A is not correct because this 0.80 x 150<br>B is not correct because this is 150 + 0.80<br>D is not correct because this is 150 + 80 | **(1)** |

## Type MS · Converting currencies with an exchange rate

### Answer 8 of 9 · Question 3 part b · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for a right shift of supply, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Converting currencies with an exchange rate

Answer 8 of 9 · Question 3 part b · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Consumers can access a wider range of goods and services from different countries including luxury items, exotic foods and digital products that were previously unavailable or expensive<br>• Increased competition and economies of scale have led to lower production costs which in turn have reduced prices for many consumer goods, such as clothing, electronics and household items<br>• As consumers have access to more and cheaper goods, their purchasing power has increased<br>• This can lead to higher living standards, better health and improved quality of life<br>• Globalisation has facilitated the transfer of knowledge and technology across borders<br>• This has led to new innovations, such as smartphones, online entertainment and e-commerce | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Converting currencies with an exchange rate

Answer 8 of 9 · Question 3 part b · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A recession is two consecutive quarters of negative growth<br>• During a recession households and firms tend to reduce their spending which results in lower demand for goods and services<br>• This decrease in (aggregate) demand can lead to lower prices for goods and services<br>• This could help to reduce Germany's 10.4% rate of inflation<br>• Firms in Germany may experience lower production costs due to lower input prices such as lower wages or lower prices for raw materials<br>• This can result in lower prices for goods and services and again help to lower inflation<br><br>**AO4**<br>• However, the effects of a recession on inflation may depend on the type of inflation Germany is suffering<br>• Inflation can be caused by cost-push factors rather than demand-pull factors<br>• Germany has been suffering from an energy crisis due to high gas and oil prices<br>• This could feed through to higher production costs for firms resulting in higher prices and therefore high rates of inflation<br>• The central bank may pursue an expansionary monetary policy during a recession by keeping interest rates low<br>• This can lead to higher inflation even if economic growth is weak | **(9)** |

## Type MS · Converting currencies with an exchange rate

### Answer 8 of 9 · Question 3 part b · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Converting currencies with an exchange rate

### Answer 8 of 9 · Question 3 part b · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

| Question Number | Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022. You are advised to show your working<br>**Answer** | Mark |
|---|---|---|

Type MS · Converting currencies with an exchange rate

Answer 9 of 9 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **4(a)** | **AO2 2 marks**<br><br>Award 2 marks for calculating the total value of UK exports in euros<br><br>£45bn x €1.15 **(1)**<br><br>= €51.75bn **(1)**<br><br>Award 2 marks if the total value of exports is accurately calculated as €51.75bn even if no calculations are shown<br><br>Award 1 mark if € or bn is missing i.e. 51.75 with or without calculations shown<br><br>No marks for formula | **(2)** |

Type MS · Converting currencies with an exchange rate

Answer 9 of 9 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account.<br><br>**Indicative content** |
|---|---|
| 4(b) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• UK firms exporting to France must prioritise delivering high-quality goods to stand out in a very competitive market where consumers have many luxury options<br>• An improvement in the quality of UK goods enhances their competitiveness in the French market<br>• This could result in increased exports as French consumers opt for superior UK products over others<br>• Increased exports of higher-quality UK goods to France can contribute to a positive impact on the UK's current account by boosting export revenues and potentially narrowing the trade deficit<br>• Improvements in quality can lead to higher prices for UK goods in France, increasing the value of exports and further positively impacting the UK's trade balance and current account position |

## Type MS · Converting currencies with an exchange rate

Answer 9 of 9 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Converting currencies with an exchange rate

Answer 9 of 9 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, evaluate the possible economic benefits of increasing government expenditure on healthcare for a country such as the UK.<br><br>**Indicative content** |
|---|---|
| 4(c) | **AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)**<br><br>**AO2 and AO3**<br><br>• Increased healthcare spending injects money directly into the economy creating demand for medical services, pharmaceuticals and healthcare-related goods. This boost in demand can lead to increased economic activity<br>• This increase in job creation not only tackles the challenge of understaffing in hospitals but also contributes to lowering unemployment rates across the economy<br>• Allocating more resources to the UK's struggling healthcare system may result in lower waiting times<br>• This allows people to engage more actively in the workforce/get back to work more quickly<br>• Healthy people are better equipped to learn, work and contribute to economic growth<br>• By ensuring timely medical treatment and reducing absenteeism due to illness, an increase in healthcare spending can lead to increased productivity, benefiting the economy as a whole<br><br>**AO4**<br>• Increased expenditure on healthcare may lead to fiscal deficits if not matched with sufficient revenue or could divert funds from other essential sectors like education<br>• To fund the increased healthcare expenditure the government might need to borrow or increase direct and indirect taxes as health services in the UK are funded out of taxation<br>• Higher taxes can reduce the amount of money people have to spend on goods and services, leading to lower consumer spending and slow down economic growth<br>• It can create an overreliance on the UK Government for healthcare discouraging investment in private healthcare alternatives and reduce individual responsibility for personal health decisions<br>• The overall long term economic benefits will depend on how effective the additional expenditure is used within the healthcare system |

Type MS · Converting currencies with an exchange rate

Answer 9 of 9 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–4 | • Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4). |
| **Level 2** | 5–8 | • Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4). |
| **Level 3** | 9–12 | • Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4). |